Federal Bank

FEDERALBNK

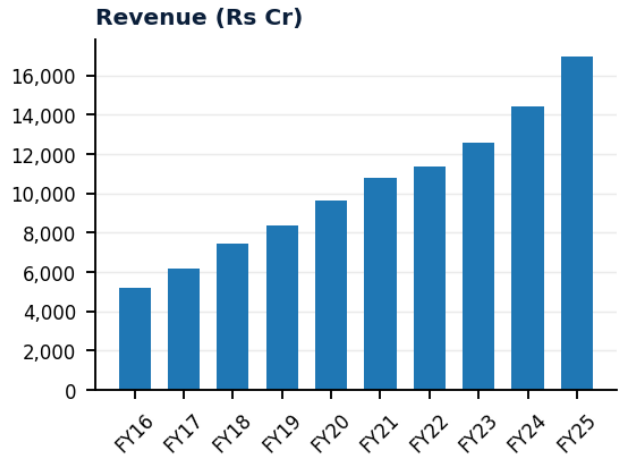
Sector: Banking

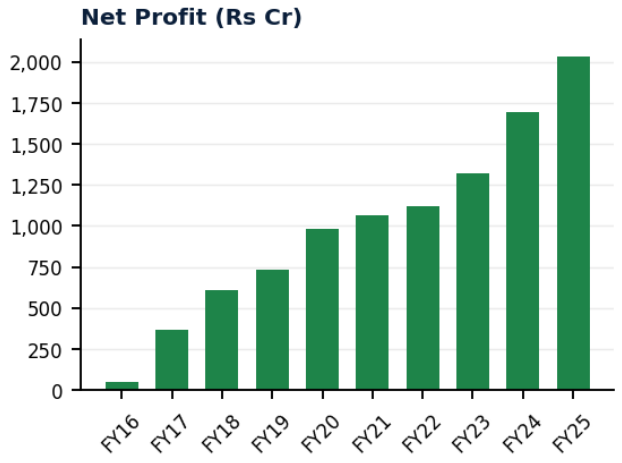
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
16,981	2,035	24.5%

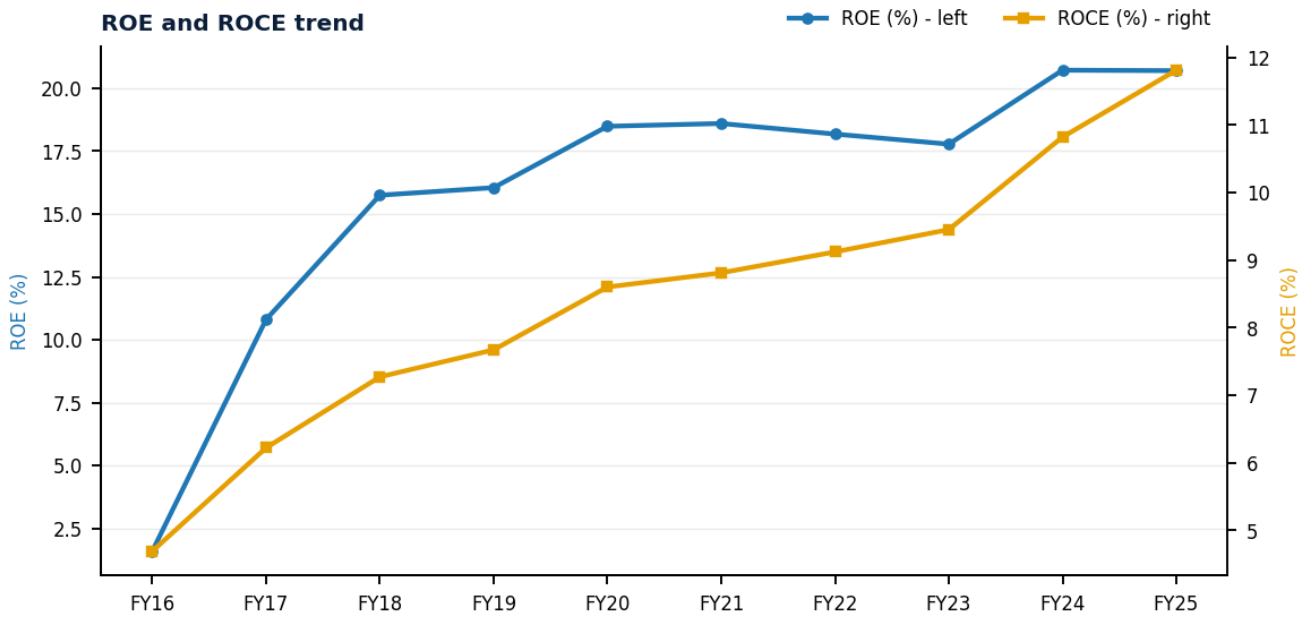
ROE (%)	ROCE (%)	Debt / Equity (x)
20.7%	11.8%	2.32x

10-year Revenue and Net Profit

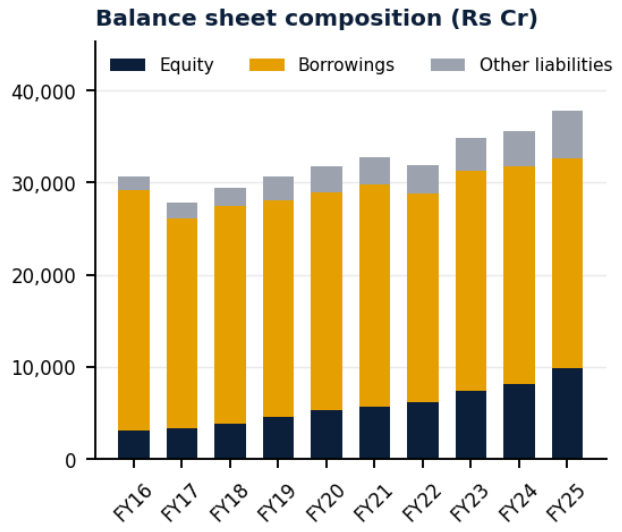


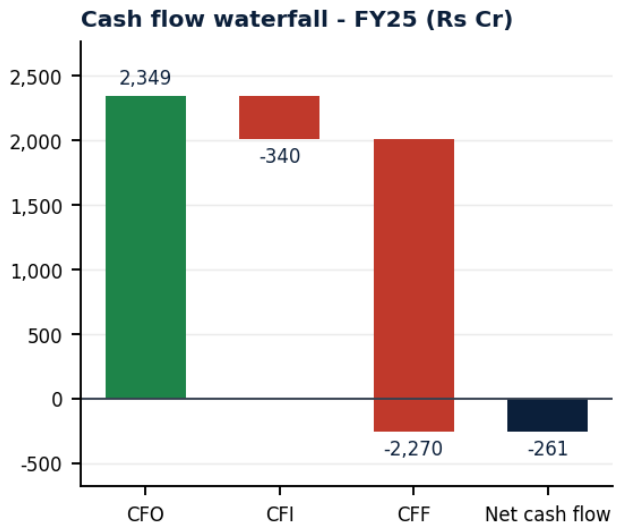


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Consistent dividend yield above 2% backed by positive free cash flow (74%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (70%)

Cons - what to watch

- 5-year revenue CAGR of 12.0% is below the sector median of 12.2% (61%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.18)	**Asset Light (2.0%)**	**No**	**Yes - repaying debt**